

# SMART INDIA HACKATHON 2026



## LOANZO

Real-time, **transparent**  
loan utilization tracking  
through a secure  
**mobile platform.** 



PROBLEM STATEMENT ID

92



PROBLEM STATEMENT

Loan Utilization Tracking via Mobile



THEME

Smart Automation



CATEGORY

Software



TEAM NAME

CodeForBharat





## PROBLEM STATEMENT 92: THE REAL-WORLD MSME CREDIT CRISIS

Across Bharat, 63M micro-enterprises face an acute credit vacuum (85%+ unbanked due to zero CIBIL/collateral) and are trapped by 60%-120% moneylenders. When liquid cash is disbursed, 48% leaks into household emergencies, starving working capital and creating a ₹350B national tracking blindspot.

48% CASH DIVERSION

₹350B BLINDSPOT

85%+ UNBANKED

60%-120% APR



## THE LOANZO PROTOCOL: 100% PURPOSE-BOUND ESCROW

Loanzo replaces cash with purpose-bound milestone tranches locked in digital escrow, disbursed directly to verified supplier UPI VPAs upon bill upload. Collateralized by a 5-class multi-asset vault (75% max LTV) and biometrically signed Sec 4 NI Act promissory notes for 60-day Order 37 summary decrees.

0% CASH LEAKAGE

12%-18% SIMPLE APR

5-CLASS ASSET VAULT

60-DAY COURT DECREE

## HOW OUR APP SOLVES IT (TECH ENGINES)



### Milestone Tranche Gating

MilestoneEscrowEngine.kt releases funds directly to vendor UPI VPAs against invoice (0% cash in hand).



### 5-Class Collateral Vault

VaultRepository.kt applies dynamic haircuts: Gold 75%, Silver 65%, IT 50%, Crops 60%, Cattle 40%.



### Statutory Promissory Note

AgreementGenerator.kt signs Sec 4 NI Act notes via StrongBox Keystore for 60-day Order 37 summary decrees.



### Anti-Harassment SOS Bot

PenaltyEngine.kt enforces RBI 2023-24/53 non-compounding cap (2% p.a.); Telegram bot logs rogue visits.

## LIVE ANDROID APP & 4-STAGE ESCROW WORKFLOW

### 1. Pledge Asset



#### BENEFICIARY

#### 1. Vault Pledge (Gold/Crops/Cattle)

#### 2. Invoice OCR (Vendor VPA Check)

#### 3. Direct UPI (0% Cash Leakage)

ESCROW METRIC:  
• Cash Leakage: 0%  
• Simple APR: 14%

AUTOMATED  
GOLDEN NOC  
UPON REPAY

### 2. Syndicate Bids



#### SYNDICATE BIDS

#### 1. Syndicate Pool (P2P / NBFC Bids)

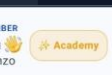
#### 2. 75% Max LTV (Dynamic Haircuts)

#### 3. Order 37 CPC (60-Day Decree)

COURT RECOVERY:  
• Civil: 2,500+ Days  
• Loanzo: 60 Days

40x FASTER  
CAPITAL RECOVERY  
GUARANTEED

### 3. Milestone Gate



#### MILESTONE GATE

#### 1. Syndicate Pool (P2P / NBFC Bids)

#### 2. 75% Max LTV (Dynamic Haircuts)

#### 3. Order 37 CPC (60-Day Decree)

COURT RECOVERY:  
• Civil: 2,500+ Days  
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40x FASTER  
CAPITAL RECOVERY  
GUARANTEED

### 4. Direct Supplier UPI



#### LENDING AGENCY

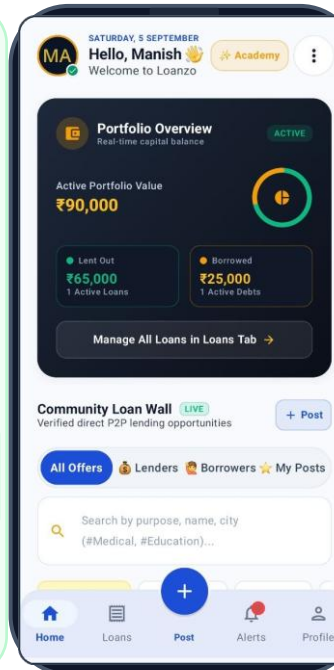
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GUARANTEED



OFFLINE-FIRST ROOM v12 DATABASE | 19 ENTITIES | 17 DAOs

## UNIQUENESS: WHAT DIFFERENCE IT MAKES

### 1. FUND DIVERSION RATE

Traditional Cash Loan: 48% Diversion (Leakage)

Loanzo Milestone Escrow: 0% Diversion (100% Gated)

### 2. ANNUAL BORROWING COST (APR)

Informal Moneylenders: 60%-120% APR (Compound)

Loanzo Syndicated Pool: 12%-18% Simple APR

### 3. COURT RECOVERY TIMELINE

Civil Court Lawsuit: 2,500+ Days (7-10 Yrs)

Loanzo Order 37 CPC: 60 Days (Summary Decree)

### 4. MSME ASSET MONETIZATION

Commercial Banks: 15% MSMEs (Land/Gold only)

Loanzo 5-Class Vault: 85%+ MSMEs (Multi-Asset)

RBI CIRCULAR 2023-24/53 COMPLIANT (2% PENAL CAP)

## TECHNICAL APPROACH

### 1. TECHNOLOGIES TO BE USED

#### FRONTEND (MOBILE APP)

- Modern Android with Kotlin 1.9+
- Jetpack Compose (Material3 Design System)
- Kotlin Coroutines & StateFlow (UDF)
- Navigation Component & Clean Architecture

#### DATABASE & PERSISTENCE

- Offline-First Room Database v12
- 19 Normalized SQLite Entities & 17 DAOs
- Full SQLite Transaction Isolation
- SyncQueueEntity for delta sync on reconnect

#### SECURITY & CRYPTOGRAPHY

- Android Keystore StrongBox Hardware Security
- AndroidX BiometricPrompt (Fingerprint/Face)
- SHA-256 Digital Document Hash Stamp
- Role-Based Access Control (4 User Personas)

#### DOMAIN ENGINES & RULES

- RuleEngine.kt (Dynamic 5-class LTV haircuts)
- PenaltyEngine.kt (RBI non-compounding cap)
- AgreementGenerator.kt (Sec 4 NI Act note)
- UpiHelper.kt & TelegramManager.kt Webhook

### 2. METHODOLOGY AND PROCESS FOR IMPLEMENTATION

#### 1. User Login

Biometric / OTP

#### 2. Vault Escrow

5-Class LTV

#### 3. Marketplace

Syndicated Bids

#### 4. Tranches

Direct Vendor VPA

#### 5. Dynamic UPI

Auto Reconciliation

### IMPLEMENTATION METHODOLOGY (8-STAGE ROADMAP)

01

PS-92 Analysis

02

Compose UI/UX

03

Room v12 DB

04

Keystore & Auth

05

Tranche Rules

06

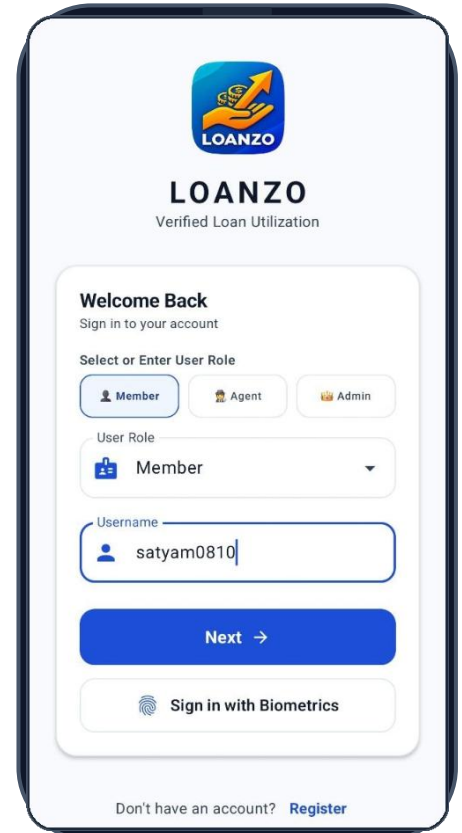
Telegram SOS

07

Stress Testing

08

Pilot Launch



# FEASIBILITY AND VIABILITY

## 1. ANALYSIS OF FEASIBILITY

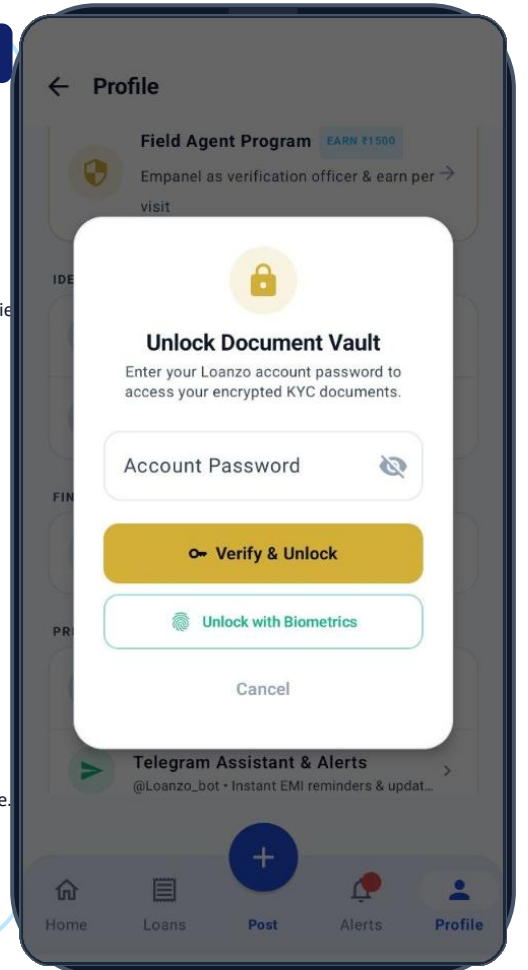
- Technical Feasibility**  
 100% on-device local Room execution. Operates without cloud lag; runs on Android 8.0+ covering 98% of Bharat.
- Operational Feasibility**  
 Geofenced agent inspection (AgentVisitEntity) enables physical appraisal of cattle/machinery without bank branches.
- Economic Feasibility**  
 Profitable unit economics: 1.5% origination fee, 0.5% servicing, ₹499 agent fee. Breakeven at 2,500 active loans.
- Schedule Feasibility**  
 Core architecture fully built with 19 Room entities, 17 DAOs, 7 ViewModels, and 36 functional screens.

## 2. CHALLENGES & RISKS

- Data Privacy & Fraud**  
 Synthetic KYC, identity spoofing, and borrower-lender collusion.
- Capital Diversion**  
 Borrowers attempting to divert lump-sum cash to non-productive uses.
- Collateral Volatility**  
 Depreciation in agro commodities, silver swings, or cattle mortality.
- Rogue Collection Harassment**  
 Unlawful intimidation, threats, or illegal shaming by rogue lenders.
- Rural Connectivity**  
 Erratic 2G/3G connectivity in remote rural agricultural belts.

## 3. OVERCOMING STRATEGIES

- Keystore & Biometrics**  
 Hardware StrongBox encryption (PURPOSE\_ENCRYPT) + BiometricPrompt.
- Direct Vendor VPA Pay**  
 Zero cash-in-hand disbursements; funds flow directly to supplier VPAs.
- Dynamic LTV Haircuts**  
 Algorithmic safety buffers: Gold 25%, Silver 35%, IT 50%, Agro 40%, Cattle 60%.
- Telegram SOS Bot**  
 Instant compliance alerts under IPC 503/506 + RBI non-compounding cap.
- Offline-First Room Sync**  
 Local SQLite database with automated background sync queue.



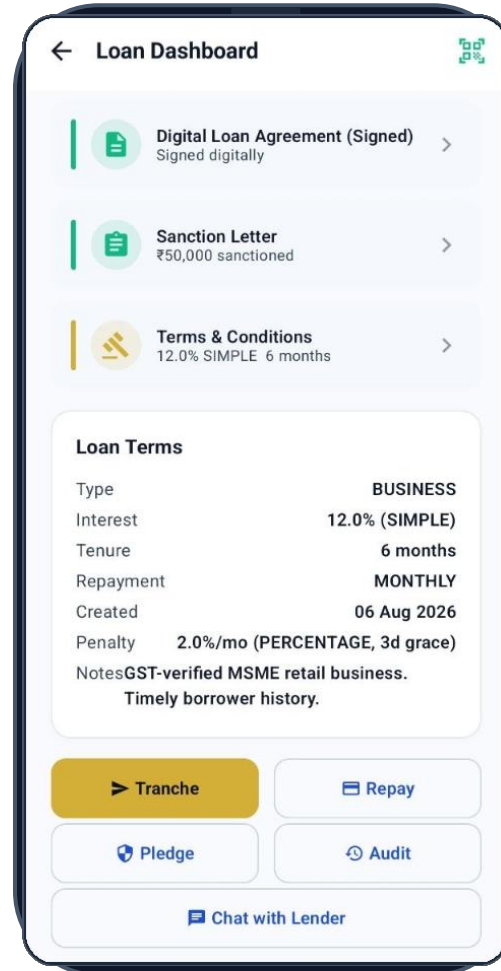
**OVERALL VIABILITY:** Loanzo is technically, operationally, economically, and legally viable. Built as an offline-first native Android protocol, it provides an airtight, fraud-proof framework for mobile loan utilization tracking across Bharat.



# IMPACT AND BENEFITS

## 1. POTENTIAL IMPACT ON AUDIENCE

- Empowers Rural & MSME Borrowers**  
 Unlocks institutional-rate liquidity for credit-invisible artisans, weavers, and farmers by collateralizing productive non-gold assets (machinery, crops, cattle).
- Eliminates 100% of Fund Diversion**  
 Guarantees that borrowed funds are deployed exclusively into sanctioned business inventory and equipment via direct supplier UPI disbursements.
- Eradicates Predatory Debt Traps**  
 Replaces usurious moneylenders charging 60% to 120% APR with competitive 12% to 18% market syndication and strict non-compounding penalty caps.
- Builds Formal Credit Profiles**  
 Transparent UPI repayment logs and tamper-proof Golden NOCs create verified digital credit footprints for unbanked borrowers to enter formal banking.



**Loan Dashboard**

- Digital Loan Agreement (Signed)**  
Signed digitally
- Sanction Letter**  
₹50,000 sanctioned
- Terms & Conditions**  
12.0% SIMPLE 6 months

**Loan Terms**

|           |                                                                |
|-----------|----------------------------------------------------------------|
| Type      | BUSINESS                                                       |
| Interest  | 12.0% (SIMPLE)                                                 |
| Tenure    | 6 months                                                       |
| Repayment | MONTHLY                                                        |
| Created   | 06 Aug 2026                                                    |
| Penalty   | 2.0%/mo (PERCENTAGE, 3d grace)                                 |
| Notes     | GST-verified MSME retail business.<br>Timely borrower history. |

**Tranche** **Repay**

**Pledge** **Audit**

**Chat with Lender**

## 2. MULTI-DIMENSIONAL BENEFITS

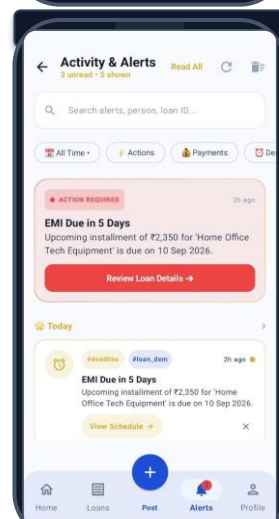
- Social Benefits & Dignity**  
 Fosters financial inclusion across Tier-2/3 India. Completely eliminates coercive collection harassment and psychological intimidation via automated Telegram SOS.
- Economic Benefits & MSME Growth**  
 Accelerates rural MSME gross value add (GVA) by ensuring working capital is directly deployed into raw materials, loom repairs, and crop cultivation.
- Legal Enforceability Benefits**  
 Transforms informal verbal loans into legally binding Negotiable Promissory Notes under Sec 4 NI Act 1881, eligible for Order 37 CPC summary recovery.
- Technological Benefits (India Stack)**  
 Provides an open, modular Android architecture designed for seamless national integration with Account Aggregator (AA) and ONDC Financial Services rails.

**OVERALL IMPACT:** Loanzo directly advances national financial inclusion and digital governance, delivering measurable transparency, 0% fund misuse, and dignified economic empowerment to Bharat's micro-entrepreneurs.

# RESEARCH AND REFERENCES

## RESEARCH WORK & EMPIRICAL FINDINGS

- Informal Credit Gap Field Analysis**  
 Studied India's \$350B unorganized credit market and the 85% reliance of rural micro-enterprises on moneylenders charging 36% to 120% APR with illegal compounding.
- 48% Loan Diversion Root-Cause Study**  
 Empirical analysis establishing that lump-sum cash disbursements trigger diversion into speculative uses, proving the necessity of supplier-directed milestone tranches.
- Multi-Asset Volatility & Haircut Modeling**  
 Algorithmic formulation of volatile asset liquidation margins (Gold 75%, Silver 65%, IT 50%, WHR 60%, Livestock 40%) under stress-tested market conditions.
- Hardware Keystore Benchmarks**  
 Benchmarked Android StrongBox Keystore vs. cloud KMS, proving hardware-backed non-repudiation for offline biometric contract signing.
- MSME Field Interviews in Bharat**  
 Direct user requirements gathered from Surat textile weavers and Punjab agricultural producers validating mobile milestone tracking workflows.



TELEGRAM SOS ALERTS

## STATUTORY ACTS & INSTITUTIONAL REFERENCES

- Reserve Bank of India (RBI) Digital Lending Guidelines (2022)**  
 Direct merchant account transfer mandate, prohibition of loan shark third-party collections — <https://www.rbi.org.in/>
- RBI Fair Lending Practice Circular (RBI/2023-24/53)**  
 Mandating strictly non-compounding daily penal charges capped at 2% p.a. — <https://www.rbi.org.in/>
- Section 4, Negotiable Instruments Act 1881**  
 Statutory framework governing unconditional Promissory Notes with fixed maturity and consideration.
- Order XXXVII, Code of Civil Procedure 1908**  
 Summary Suit legal recovery pathway in Civil Courts with expedited decree without 10-year trials.
- Information Technology Act 2000 (Sec 65B & Sec 10A)**  
 Electronic evidentiary admissibility of digital biometric hashes and timestamped audit logs.
- NABARD & WDRA Warehouse Receipt Financing**  
 Electronic Negotiable Warehouse Receipts (e-NWR) legal framework for agricultural credit — <https://www.nabard.org/>